FP&A CASE STUDY · PUBLIC FILINGS

Tesla Energy: margin quality and the 2027 pricing decision

How much of the Q3 2026 margin was one-time, and should Tesla cut Megapack prices in 2027 or protect price and cut cost?

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EXECUTIVE SUMMARY

Q3's margin rise was mostly one-time, and the case for broad 2027 price cuts looks weak

23.8% Q3 margin ex refunds	**Q3 was lifted by one-time refunds.** They added a net $187M to gross profit. Excluding them, margin would have been about 23.8%, vs 31.4% a year earlier.
-14% revenue per GWh, YoY	**Price and mix pressure.** GWh deployed rose 10%, but revenue per GWh fell 14% and cost per GWh only 4%, a -$523M step in the gross profit bridge.
+20% volume to offset a 5% cut*	**2027 supply looks tight.** Management says 2027 Megapacks are almost sold out. If supply is the limit, a cut adds little volume, yet it needs about +20% to break even.
7% cost cut per 5% of price*	**Proposed stance.** Avoid broad cuts. Allow targeted discounts only with matching cost-downs (about 7% per 5% of price) or proof of extra deliverable volume.

*Illustrative: assumes a 30% contribution margin, which Tesla does not disclose; tested from 20% to 40%. Figures excluding one-time items are calculated, not reported.

PART 1 · Q3 2026 MARGIN

Excluding one-time tariff refunds, Q3 margin would have been about 23.8%, not 33.1%

US$M	Q3 2025	Q3 2026 reported	Refunds	Q3 2026 ex refunds
Revenue	3,415	2,881	+339	3,220
Cost of revenue	2,342	1,927	+526	2,453
Gross profit	1,073	954	-187	767
Gross margin	31.4%	33.1%	-9.3 pts	23.8%

Two one-time items

Tariff refunds lowered cost by $526M. Refunds owed to customers lowered revenue by $339M. Net: +$187M of gross profit.

What the CFO said

The margin gain was “primarily attributed to tariff refunds recognized in the quarter,” plus lower warranty costs.

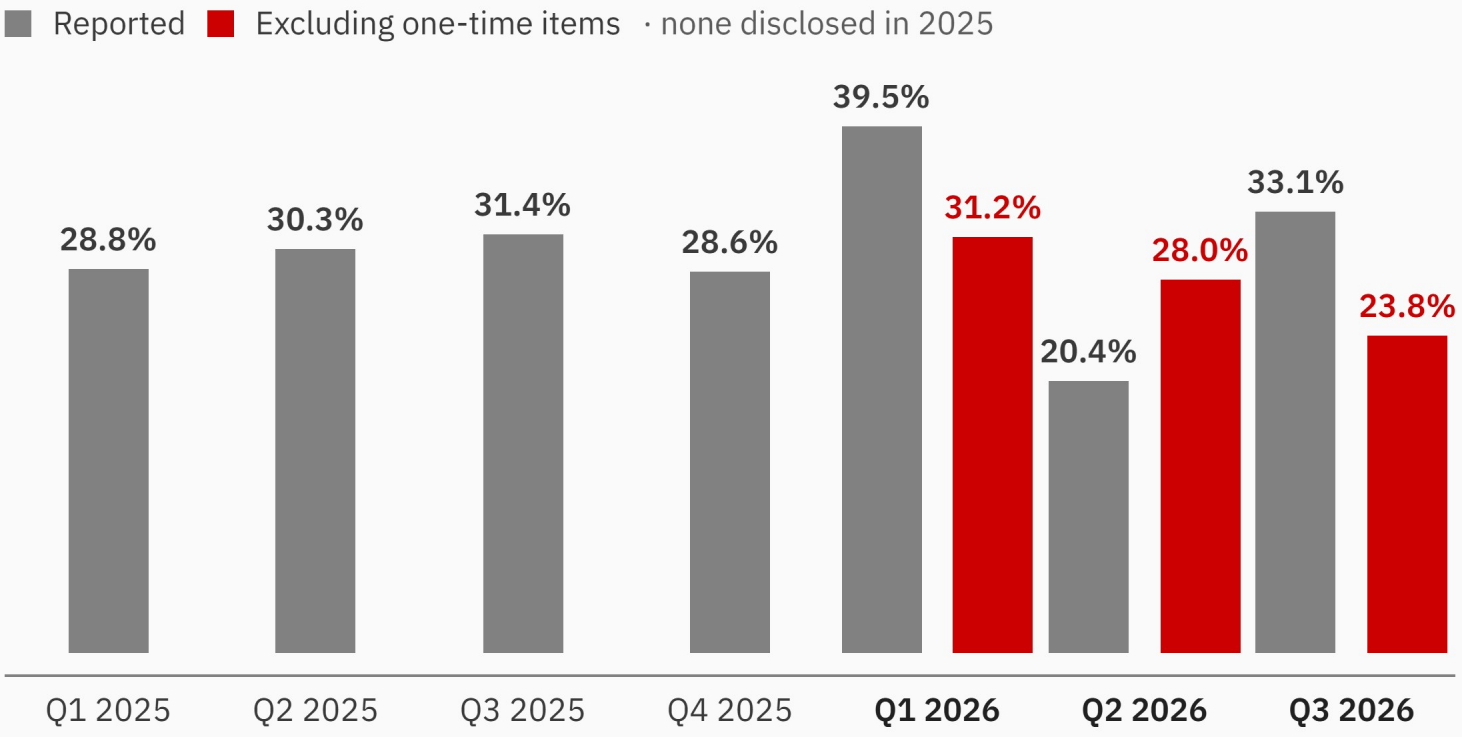
Why 23.8% may be high

Tesla did not size the lower warranty costs, so that benefit is still inside the 23.8%. Treat it as an estimate, not a run-rate.

Source: Tesla Q3 2026 10-Q (Energy segment, Note 11); Q3 2026 earnings call. Ex-refund figures are calculated, not reported.

PART 1 · 2026 TREND

Excluding one-time items, 2026 margin fell from 31.2% to 23.8%



One-time items removed

- Q1: +$200M tariff benefit
- Q2: -$240M warranty charge
- Q3: +$187M net tariff refunds

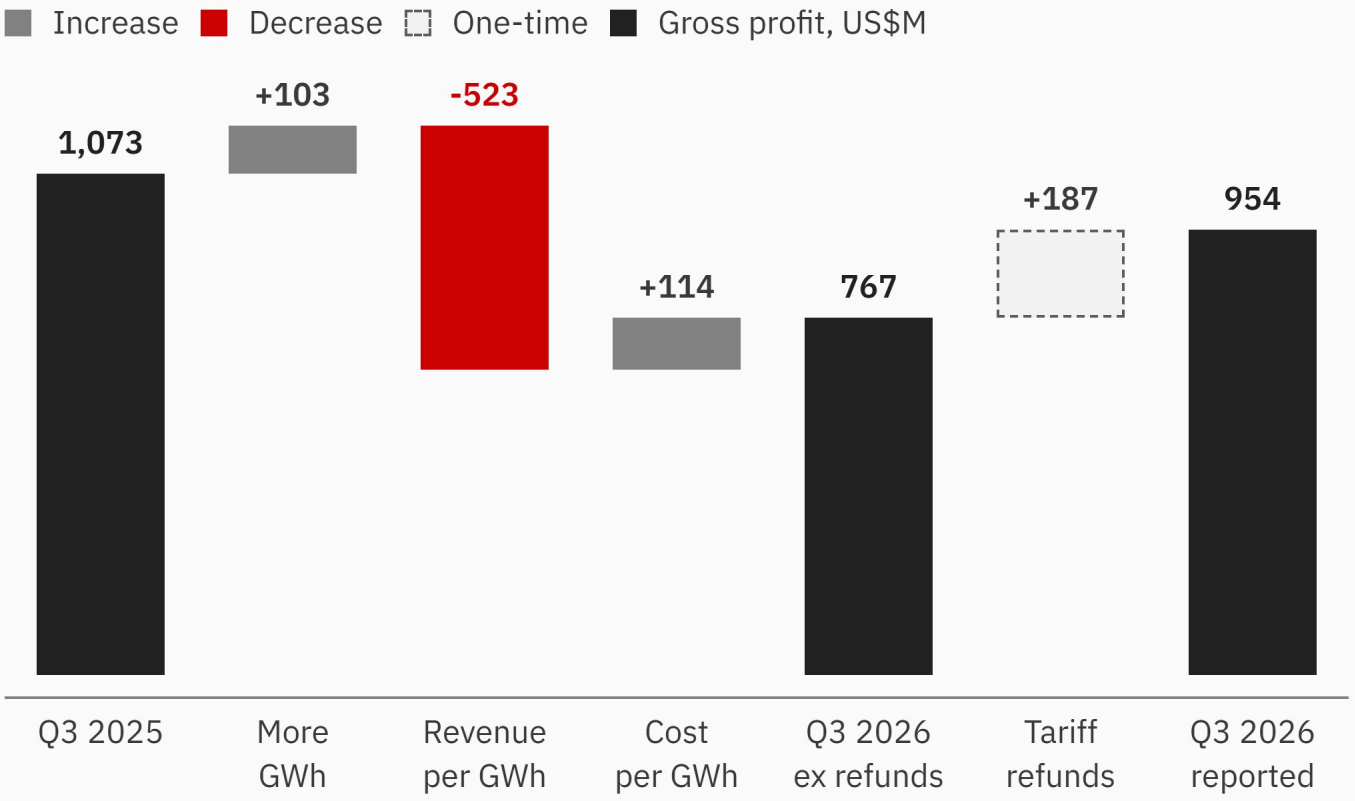
What it means

- First nine months of 2026: 27.4% excluding one-time items, vs 30.3% in 2025
- Q3's 23.8% is already in the CFO's long-term range: "mid- to low 20%"

Source: Tesla FY2025 10-K and 2026 10-Qs; CFO on the Q2 2026 call. Q4 2025 = full year minus first nine months.

PART 1 · GROSS PROFIT BRIDGE

In the bridge, lower revenue per GWh more than offset volume and cost gains

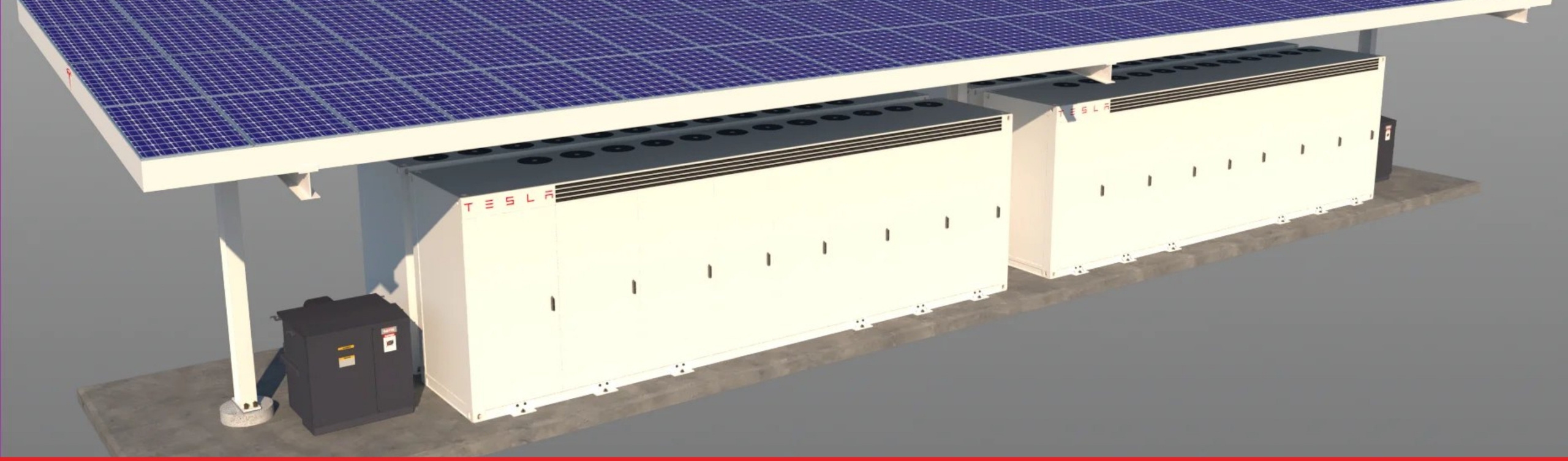


Per GWh deployed, ex refunds

Metric	Q3 25	Q3 26	YoY
GWh deployed	12.5	13.7	+10%
Revenue per GWh	$273	$235	-14%
Cost per GWh	$187	$179	-4%
Gross profit per GWh	$86	$56	-35%

This bridge describes the numbers; it does not prove a Megapack price cut. Revenue per GWh mixes price, product mix and timing. The 10-Q points to lower Megapack prices and fewer Powerwall and solar installs.

Source: Tesla Q3 2026 10-Q; Tesla deployment data. Dollar figures per GWh equal $ per kWh. Lower cost per GWh may partly reflect lower tariffs.



PART 2 · THE 2027 DECISION

Cut price to sell more, or protect price and cut cost?

The next three slides test both levers with simple math. Inputs Tesla does not disclose are labeled as assumptions.

PART 2 · 2027 PRICING

If 2027 supply is the limit, a broad price cut is hard to justify

What management said

- CEO: “almost sold out of all Megapacks for 2027”
- Q3 update: “highest-ever order rate and backlog”
- CFO: expects “improvements in ASP”
- Counterpoint, CFO in Q2: prices are “coming down amidst growing competition”

“Sold out” compares orders with planned supply. It does not mean the factories run at full capacity.

Illustrative: contribution margin is an assumption

Contribution margin	20%	30%	40%
Volume to offset a 5% cut	+33%	+20%	+14%
Volume a 5% raise can lose	-20%	-14%	-11%

Why 30%: contribution margin (price minus variable cost) must sit above the 23.8% gross margin, which also carries fixed cost. Tesla does not disclose it, so the table tests 20% to 40%.

Read: a 5% cut needs 14% to 33% more volume to break even. If 2027 output is already committed, that volume would have to come later or from new capacity.

Source: Q3 2026 call (via Tesla North, Tech Insider); Tesla Q3 2026 Update; Q2 2026 call (via Energy-Storage.news).

PART 2 · COST AND FACTORY USE · ILLUSTRATIVE

Cost-downs can fund targeted price moves, and utilization drives unit fixed cost

Cost cut that offsets a 5% price cut

Contribution margin	20%	30%	40%
Variable cost cut	6.3%	7.1%	8.3%

Rule of thumb: about 7% lower variable cost funds each 5 points of price at flat volume. Cells are the lever to watch: Q3 saw the first Megapacks built only with Tesla's own Nevada LFP cells.

Fixed cost per unit by utilization

Utilization	30%	50%	70%	90%
Fixed cost per unit (90% = 100)	300	180	129	100
Margin effect vs 90%, points*	-20	-8	-3	0

Texas Megapack 3 production began in Q3 2026, with 50 GWh a year planned. Early in a ramp, unit cost falls as output rises; discounting to fill the line trades a short-term cost issue for a lasting price issue.

*Assumes fixed cost is 10% of revenue at 90% utilization. Hypothetical, not Tesla data. Source: Tesla Q3 2026 Update and 10-Q.

PART 2 · DECISION TRIGGERS

What would change the call: five triggers to track in 2027

What to watch	Trigger and why	Q3 2026	Status
Margin excl. one-time items	Below 20%: the low end of the CFO's long-term range	23.8%	Inside range
Revenue vs cost per GWh	Revenue per GWh falling faster than cost per GWh means a margin squeeze	-14% vs -4%	Flag
Extra volume from a 5% cut	Must reach break-even: +20% at 30% CM (+14% to +33%)	Not disclosed	Needs evidence
Cost-down per 5% of price	About 7% of variable cost at 30% CM (6% to 8%)	Not disclosed	Needs data
Texas ramp	Fixed cost per unit should fall as output rises	Started Q3 2026	Needs data

Recommendation, subject to these triggers: keep broad 2027 pricing; approve targeted discounts only with matching cost-downs or proof of extra deliverable volume.

Triggers are proposals for discussion, not Tesla policy. Data gaps: Q3 warranty benefit, Megapack vs Powerwall revenue, contract prices, plant costs.

APPENDIX

Method and sources

Method

- “Excluding one-time items” removes the Q1 2026 +$200M tariff benefit and Q2 2026 -$240M warranty charge (CFO, Q2 call), and the Q3 2026 refunds: $526M in cost and $339M owed to customers (10-Q Note 11).
- Per-GWh figures = Energy segment revenue or cost divided by GWh deployed. They mix products and timing, so they show direction, not exact prices.
- Illustrative math, with price change p and contribution margin CM: volume to offset a cut = p / (CM - p); cost cut needed = p / (1 - CM).
- The companion Excel model rebuilds every number and ties it to the filings.
- Information public as of November 2026.

Sources

- Tesla Q3 2026 Form 10-Q, Q2 and Q1 10-Qs, FY2025 10-K
- Tesla Q3 2026 Update and Q3 deployments release
- Q3 2026 call quotes via Tesla North, Tech Insider, Drive Tesla Canada
- Q2 2026 call quotes via Energy-Storage.news
- Deployments by quarter: Drive Tesla Canada; 2026 total matches the 10-Q (36.0 GWh)

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